

Democratizing investment in fine arts: building a new asset class through blockchain

1. Introduction to study:

With an estimated yearly transaction volume of \$65.1 billion, as reported by UBS in 2021, the art market is undeniably substantial. However, many everyday investors are still unfamiliar with the idea of art as an investment. In a 2021 report titled "Art as an Asset Class," Deloitte noted a growing acknowledgment of art's potential as an investment, particularly as people become more sophisticated in their financial planning. Despite differing opinions on whether art should be considered a financial asset, it is generally regarded as a tangible asset, distinct from commodity assets like raw materials.

Art is recognized as an asset class because it has the potential to generate financial returns and can appreciate in value over time, much like traditional assets such as stocks and real estate. Works by renowned artists have historically increased in value, making art a long-term investment option for collectors seeking diversification and potentially higher returns. Additionally, art serves as a store of wealth, enabling individuals and institutions to preserve and grow their capital.

The uniqueness and scarcity of each artwork contribute to its appeal as an investment. With demand for art on the rise, particularly in emerging markets, and a limited supply, prices can increase. Furthermore, the subjective nature of art, influenced by factors like artistic quality and cultural significance, creates opportunities for investors to capitalize on changing tastes and trends in the market.

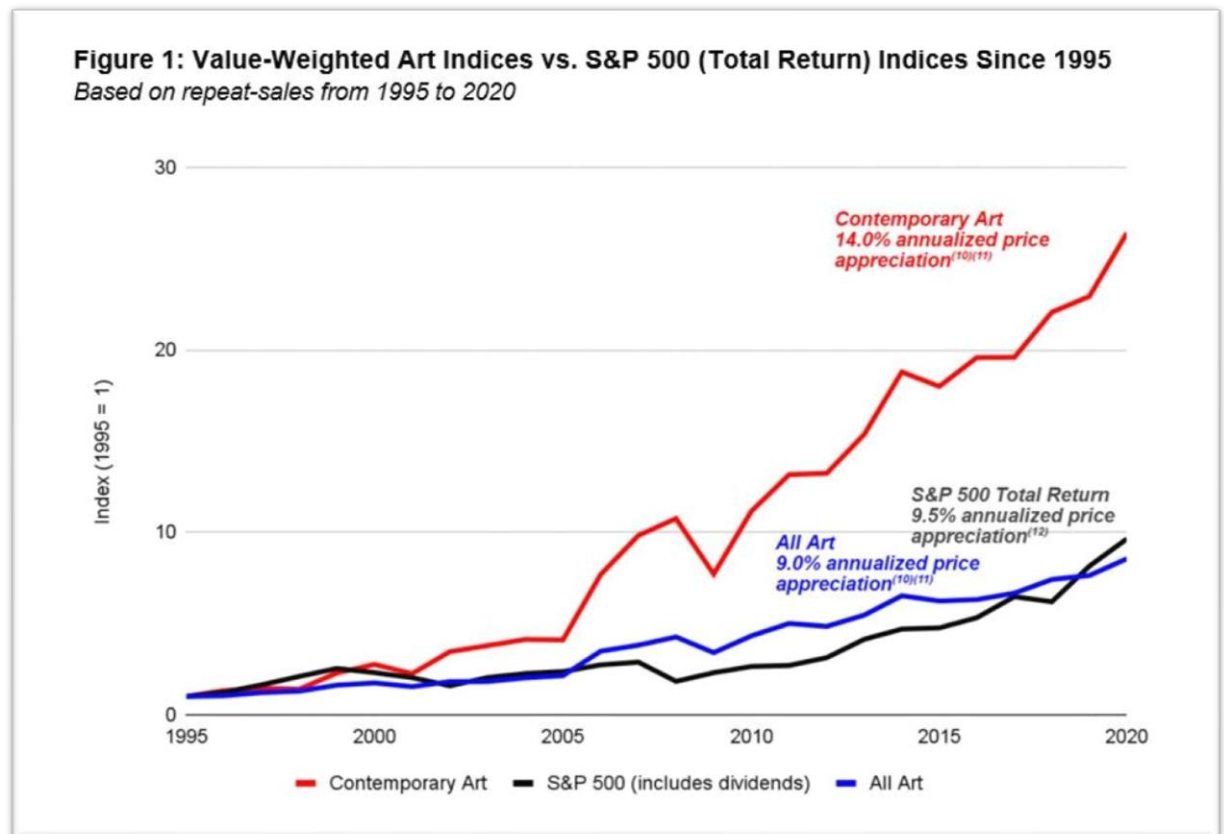
2. Problem Statement:

Fine art has always been seen as something for the rich, a luxury that only the wealthy can truly enjoy and invest in. But art isn't just nice to look at; it's also been a great way to make money. In fact, investing in art can sometimes give better returns than stocks, gold, bonds, or other common investments. Despite this, most people don't get the chance to invest in art because it's just too expensive and complicated to get into.

This brings us to a big question: If art is such a good investment, why can't more people get in on it? Right now, the art world is hard for average investors to enter because of high prices, tricky processes to prove an art piece is real, and the fact that selling art can take a long time. This keeps a lot of people out and makes the art market a closed-off place where only a few can benefit from investing in art.

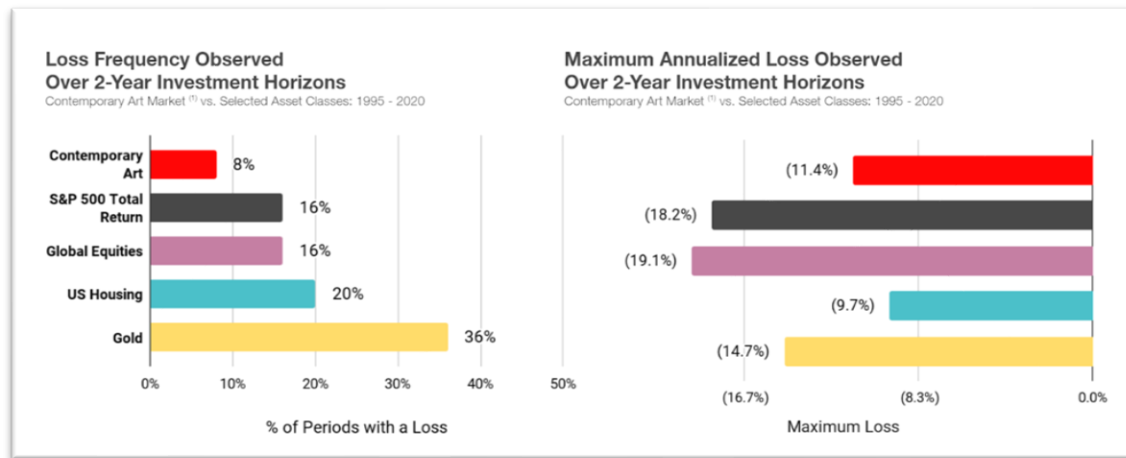
It doesn't seem fair that only rich people can invest in art, especially when it could be a good way for lots of people to make money and save for the future. Plus, if more people could invest in art, it would be good for artists and the art world because it would bring in more support and interest.

3. Data motivating this study:



According to publicly available data compiled by Masterworks and CAIA Association, From 1995 to 2020, contemporary art prices outpaced the S&P 500 by 174%. It's also one of the top investments ultra-high net worth families hold. As you can see here in the graph, over this period, the S&P 500 appreciated 9.5% a year, while contemporary art prices appreciated 14% per year on average. That's nearly two-fold the S&P 500 over the same period.

Possible losses observed and estimated:



All assets gain and lose value at any point in time. According to a 2020 report by Citibank, art has one of the lowest correlations to the stock market of any major asset class. And Deloitte estimates the total wealth held in art to be \$1.7 trillion. But, with contemporary art, including artists like Picasso, Monet, Warhol, and so on, from 1995 to 2020, contemporary art prices have faced losses only 8% of the time, measured over 2-year investment horizons. And that loss would be an average of just 0.5%. Compare that with potential losses in US housing at 20% or the S&P 500 total return at 24%, it's easy to see that contemporary art is a very interesting asset class.

4. Methodology:

Art tokenization is a contemporary approach to art investment and ownership, leveraging blockchain technology to fractionalize ownership of a physical or digital artwork. This process involves converting the value of an artwork into digital tokens, which are then made available for purchase. Each token represents a fraction of the artwork's ownership, allowing multiple investors to hold a stake in a single piece of art.

We can build an ecosystem of on-chain physical assets where each and every piece of art can be tracked in various domains such as ownership or price fluctuations. This method can help investors to perform their own analysis before investing in such assets.

For keeping every process transparent, the method can include consignment of art pieces directly on our platform for a specific period of time rather than us purchasing the actual art. Once all the fractional tokens are sold to investors, the artist will get paid the original price and the art will be given to a museum for securely storing the art piece, also this way the authenticity of showcasing of art pieces remains alive.

5. References:

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2. <https://caia.org/blog/2021/07/22/investing-art-market-17-trillion-asset-class>
3. <https://www2.deloitte.com/lu/en/pages/art-finance/articles/art-finance-report.html>
4. <https://medium.com/@Prolitus01/art-tokenization-everything-you-need-to-know-de86b0503cd1>

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